

development, physical capital is the main driver of growth. In a more mature economy, human capital takes the place of physical capital as the main source of growth slowing down inequality.

Simply, asymmetry—of education, skills, opportunity and physical infrastructure—is currently driving income and thus expenditure inequality. As several studies have validated, lack of education creates an asymmetry both in ability and skills leading to people being less employable or more employable. This enables those better skilled to earn better. But there is hardly any move to institutionalise skills training. India has only 12,000 vocational training institutes against 5,00,000 in China. Industry chambers offered to take over industrial training institutes and modernise the courses. But despite the support of the ministries of commerce and finance, the labour ministry blocked it. As the recent ADB report says, India illustrates best the impact of globalisation on income distribution.

While wages for English-speaking graduates are rising fast as information technology sector thrives, salaries for unskilled labourers are stagnating.

The second important factor is physical infrastructure. India has had to struggle to add 45,000 MW in five years while China adds nearly 70,000 MW every year. Consider the road connectivity figures: states like Madhya Pradesh and

RELIGIOUS DIVIDE

Education levels and access to employment opportunities could even out the gap

INCOME

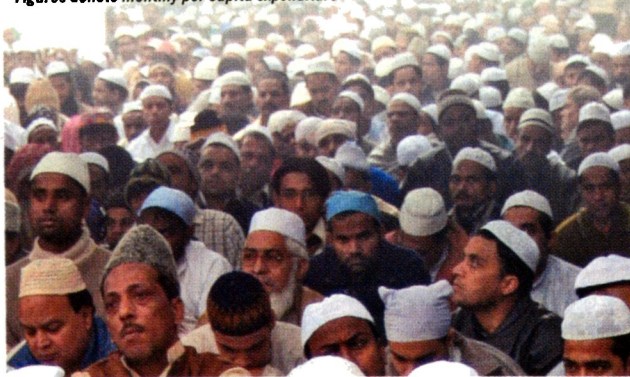
CATEGORY	50th Employment Round (1993-94)	61st Employment Round (2004-05)
HINDU	Rs 24,691	Rs 72,618
MUSLIM	Rs 22,786	Rs 63,943
CHRISTIAN	Rs 33,178	Rs 1,03,453
BUDDHIST	Rs 20,414	Rs 56,012
NATIONAL	Rs 24,980	Rs 73,145

Figures denote average annual income

EXPENDITURE

CATEGORY	50th Employment Round (1993-94)	61st Employment Round (2004-05)	Growth Annualised
HINDU	Rs 676	Rs 1,586	8.06
MUSLIM	Rs 620	Rs 1,459	8.09
CHRISTIAN	Rs 838	Rs 2,263	9.46
BUDDHIST	Rs 583	Rs 1,512	9.04
NATIONAL	Rs 682	Rs 1,605	8.10

Figures denote monthly per capita expenditure



SUMEEETINDER SINGH

Chhattisgarh have barely 15 per cent road connectivity. This leads to income disparity between those living in urban areas and those in rural areas. Lack of connectivity from, say fields to markets, prevents farmers from getting better returns. Lack of farm-to-fork chain systems results in produce being wasted. This widens the distance between incomes earned from the real potential. Not surprisingly, the expenditure inequality between urban and rural India is startling. The latest NSSO survey reveals that average per capita expenditure of people living in urban areas is Rs 1,052 against Rs 558.78 in rural areas.

Clearly, the cause of inequality is not growth because growth has driven down the ratio of poverty. The cause is simply lack of governance and asymmetry of opportunity. The governance deficit is startling if one looks at the levels of literacy and primary health care. The wide disparity in literacy levels across states, say Bihar which has a literacy level of 46 per cent and Mizoram of 89 per cent, il-

lustrates this best. To gauge the impact of education, juxtapose the levels of literacy with the per capita income of the two states. Bihar has a per capita income of Rs 6,311 while Mizoram boasts of a per capita income of Rs 27,733. Obviously, it is not only education that is a factor of income. There is healthcare and, of course, the existence or lack of physical infrastructure that attracts investments and thus

URBAN MIDDLE CLASS SQUEEZE



IN JANKAR PAUL

Incomes of the top and bottom levels are growing faster than of the middle class

URBAN INCOME QUINTILES	50th Employment Round (1993-94)	61st Employment Round (2004-05)	Growth Annualised
UQ1	Rs 7,889	Rs 23,285	10.3%
UQ2	Rs 18,854	Rs 47,771	8.8%
UQ3	Rs 32,258	Rs 75,890	8.1%
UQ4	Rs 55,041	Rs 1,45,628	9.2%
UQ5	Rs 1,09,979	Rs 3,78,040	11.9%
NATIONAL	Rs 44,802	Rs 1,34,113	10.5%

Figures denote average monthly income.

Each Quintile denotes 20 per cent. Q1 is the bottom quintile while Q5 is the top.